



CIMA Management Case Study

Mock Exam 3

Flatthall

Unseen

Task 1 - Unseen case material

It is the first week of January 2024. A private building maintenance company, MainteX is proposed to be acquired by March 2024 so that the operations of MainteX will be fully integrated with Flatthall's by the end of April 2024. The plan is to ensure their services are fully utilised during the summer break which starts in May 2024. You receive the following email.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Impairment of goodwill and valuation of acquisition

Hi Financial Manager,

Our financial year ends in August 2024, and some of the independent board members have raised the question about how the impairment of goodwill on the acquisition of MainteX would be reflected in the financial statements for the year ending August 24. Also, they have raised concerns about the valuation of MainteX using the cash flow method.

I need you to prepare a draft report in which you:

- Firstly, evaluate the problems with conducting an impairment review on the goodwill arising from the acquisition of MainteX and recommend a response to those challenges.

[Sub task a - 50%]

- Secondly, identify the difficulties that the company would face when calculating the present value of cash flows resulting from ownership of MainteX and explain how they could be overcome.

[Sub task b - 50%]

Kind regards,
SFM

Reference material

Executive Summary

MainteX is an unquoted, private building maintenance company based in Towland. It is a small but well-reputed company founded 32 years ago by two brothers - a plumber and an electrician. MainteX brand is associated with cost-effective service and well-mannered professionals. They recruit freshers from various universities and polytechnic colleges across the country, train them and then retain them by providing above-industry-average wages and a respectful, friendly and warm work culture.

MainteX has operations in 214 cities in Towland, of which we have PBSA buildings in 157 locations.

Since its inception, the company focused only on providing building maintenance services like plumbing, wiring electricity, carpentry works and the like. In 2023, MainteX leased the latest robotic cleaning equipment which would greatly decrease the need for cleaning labour.

The founders are willing to sell, and preliminary talks are proceeding smoothly. It has been agreed that the value of MainteX would be determined using the cash flow method, but a clear figure has yet to be agreed upon.

It is determined that after allocating resources to service our buildings, there will be some spare capacity (around 20%) to service external customers.

Task 2 - Unseen case material

It is the middle of March 2024. You receive the following email.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: BI system and expanding the capacity of MainteX

Hi Financial Manager,

Our CEO is proposing to introduce a Business Intelligence (BI) system, the details of which are attached to this email.

I need you to prepare a draft report:

- Explaining how the introduction of a BI system is likely to affect the approach to leadership of the group.

[Sub task a - 40%]

MainteX has been fully acquired, and the process of integration of operations is underway. The founders would stay on as consultants for a year. The senior management team is considering expanding the operations of MainteX - not only for building maintenance but also for cleaning services, in the locations where we have our PBSA buildings but where MainteX does not have a presence. Do note, that MainteX has operations in 214 cities in Towland, of which we have PBSA buildings in 157 locations.

- Evaluate arguments for and against making an immediate investment in expanding the operating capacity of the newly acquired company MainteX.

[Sub task b - 60%]

Kind regards,

SFM

Reference material

Extract from executive summary

Now that we have acquired MainteX, our CEO has proposed the introduction of a new Business Intelligence (BI) system, as our existing costing system is rather simple and is not able to provide the senior management team with timely and relevant information. This would not only be more versatile than our current systems but would also fulfil the purposes of our financial reporting.

BI systems are relevant to our business because they are used to make more effective use of data that is already being collected by our internal systems or is available from external sources. The BI system would enable managers to make unstructured analyses that can be presented in many different ways.

“Data mining” enables managers to process both structured and unstructured data, even if none of that data has been gathered with that particular interest in mind. This BI system means there would be no need to structure our data in advance.

Task 3 - Unseen case material

It is July 2024. MainteX has been integrated and is now functioning as an investment centre.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: Risk management and transfer pricing

Hi Financial Manager,

I have attached the executive summary regarding certain issues with using the building maintenance and cleaning services of MainteX. Please have a look at it.

I need you to help me prepare a briefing report in which you:

- Identify one reputation risk and one contractual inadequacy risk that could arise from using the services of MainteX and explain why each of those risks would be difficult to manage.

[Sub task a - 40%]

- Evaluate the difficulties associated with setting appropriate transfer prices between Flatthall and MainteX and recommend responses to those difficulties. I want you to discuss the implications of adopting market-based prices, dual pricing and negotiated prices.

[Sub task b - 60%]

Kind regards,
SFM

Reference material

Executive summary - issues with using in-house services

With the adoption of the Business Intelligence system, the concierges are able to view the market rates for maintenance services and can now choose between local contractors and in-house maintenance service provided by MainteX

It has been found that the rates for certain services charged by MainteX are higher than those charged by the local contractors. The building concierges then prefer to call the local contractors as they wish to keep costs down. It is to be noted that we treat our buildings as cost centres, and during staff appraisals and determination of performance bonuses, the emphasis is on cost reduction at our buildings.

It was found that MainteX managers charge us at the same rates that they charge to external customers, which is cost plus 25% margin. If they were to charge the buildings at cost, it would be less than the rates charged by local contractors. Since its inception, MainteX employees have always received a share of profits, and employees are highly motivated to improve margins.

Though the terms of the acquisition is that, in the locations where there are PBSA buildings, 75% of its resources and staff time of MainteX would be spent on them and the rest on external customers for all practical purposes, MainteX tends to prioritise external customers over servicing our buildings.

It is to be noted that, after the acquisition, Flatthall is the biggest customer of MainteX now as most of its previous customers, who are our competitors in the market, no longer use the services of MainteX.

Most of our 1,500-strong cleaning staff who are employed by us in our 174 buildings will be laid off by the end of August 2024. Though it is legal to terminate employment contracts after providing the required notice period and making redundancy payments, certain local councils have raised questions about the ethics of such a move.

Task 4 - Unseen case material

It is the third week of August 2024.

From: Susanna Leong, Senior Financial Manager

To: Financial Manager

Subject: WACC and TQM

Hi Financial Manager,

I have attached the minutes of the Board meeting that took place yesterday for your reference. I need your help in preparing a briefing report to discuss the concerns raised at the meeting.

In your draft report, I want you to:

- Discuss why the acquisition of MainteX might increase the Weighted Average Cost of Capital (WACC) of Flatthall and the possible implications, and;

[Sub task a - 50%]

- Evaluate the suggestion that Total Quality Management (TQM) should be implemented at MainteX to ensure quality of service.

[Sub task b - 50%]

Kind regards,
SFM

Reference material

Extract from minutes of the Board meeting

MainteX was acquired for T\$ 600 million, and the founder owners of MainteX were paid in newly issued Flatthall shares.

The Board discussed the implications of issuing T\$600m equity to fund the acquisition of MainteX. Independent director Noam Shoked raised concerns that such a large investment in MainteX would have an adverse effect on the Weighted Average Cost of Capital (WACC) of our company.

The Customer Service Director, Hamid Abbasi, discussed his concerns about the service quality provided by MainteX and suggested the implementation of a Total Quality Management (TQM) approach at MainteX.

Present value tables

Present value of US\$1 i.e. $(1 + r)^{-n}$ where r = interest rate, n = number of periods until payment or receipt.

Period s (n)	Interest rates (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	.990	.980	.971	.962	.962	.943	.935	.926	.917	.909
2	.980	.961	.943	.925	.907	.890	.873	.857	.842	.826
3	.971	.942	.915	.889	.864	.840	.816	.794	.772	.751
4	.961	.924	.888	.855	.823	.792	.763	.735	.708	.683
5	.951	.906	.863	.822	.784	.747	.713	.681	.650	.621
6	.942	.888	.837	.790	.746	.705	.666	.630	.596	.564
7	.933	.871	.813	.760	.711	.665	.623	.583	.547	.513
8	.923	.853	.789	.731	.677	.627	.582	.540	.502	.467
9	.914	.837	.766	.703	.645	.592	.544	.500	.460	.424
10	.905	.820	.744	.676	.614	.558	.508	.463	.422	.386
11	.896	.804	.722	.650	.585	.527	.475	.429	.388	.350
12	.887	.788	.701	.625	.557	.497	.444	.397	.356	.319
13	.879	.773	.681	.601	.530	.469	.415	.368	.326	.290
14	.870	.758	.661	.577	.505	.442	.388	.340	.299	.263
15	.861	.743	.642	.555	.481	.417	.362	.315	.275	.239
16	.853	.728	.623	.534	.458	.394	.339	.292	.252	.218
17	.844	.714	.605	.513	.436	.371	.317	.270	.231	.198
18	.836	.700	.587	.494	.416	.350	.296	.250	.212	.180
19	.828	.686	.570	.475	.396	.331	.277	.232	.194	.164
20	.820	.673	.554	.456	.377	.312	.258	.215	.178	.149

Period s (n)	Interest rates (r)									
	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	.901	.893	.885	.877	.870	.862	.855	.847	.840	.833
2	.812	.797	.783	.769	.756	.743	.731	.718	.706	.694
3	.731	.712	.693	.675	.658	.641	.624	.609	.593	.579
4	.659	.636	.613	.592	.572	.552	.534	.516	.499	.482
5	.593	.567	.543	.519	.497	.476	.456	.437	.419	.402
6	.535	.507	.480	.456	.432	.410	.390	.370	.352	.335
7	.482	.452	.425	.400	.376	.354	.333	.314	.296	.279
8	.434	.404	.376	.351	.327	.305	.285	.266	.249	.233
9	.391	.361	.333	.308	.284	.263	.243	.225	.209	.194
10	.352	.322	.295	.270	.247	.227	.208	.191	.176	.162
11	.317	.287	.261	.237	.215	.195	.178	.162	.148	.135
12	.286	.257	.231	.208	.187	.168	.152	.137	.124	.112
13	.258	.229	.204	.182	.163	.145	.130	.116	.104	.093
14	.232	.205	.181	.160	.141	.125	.111	.099	.088	.078
15	.209	.183	.160	.140	.123	.108	.095	.084	.074	.065
16	.188	.163	.141	.123	.107	.093	.081	.071	.062	.054
17	.170	.146	.125	.108	.093	.080	.069	.060	.052	.045
18	.153	.130	.111	.095	.081	.069	.059	.051	.044	.038
19	.138	.116	.098	.083	.070	.060	.051	.043	.037	.031
20	.124	.104	.087	.073	.061	.051	.043	.037	.031	.026

Cumulative present value tables

This table shows the Present Value of US\$1 per annum, Receivable or Payable at the end of each year for n years

$$\frac{1 - (1+r)^{-n}}{r}$$

Periods (n)	Interest rates (r)									
	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	0.990	0.980	0.971	0.962	0.952	0.943	0.935	0.926	0.917	0.909
2	1.970	1.942	1.913	1.886	1.859	1.833	1.808	1.783	1.759	1.736
3	2.941	2.884	2.829	2.775	2.723	2.673	2.624	2.577	2.531	2.487
4	3.902	3.808	3.717	3.630	3.546	3.465	3.387	3.312	3.240	3.170
5	4.853	4.713	4.580	4.452	4.329	4.212	4.100	3.993	3.890	3.791
6	5.795	5.601	5.417	5.242	5.076	4.917	4.767	4.623	4.486	4.355
7	6.728	6.472	6.230	6.002	5.786	5.582	5.389	5.206	5.033	4.868
8	7.652	7.325	7.020	6.733	6.463	6.210	5.971	5.747	5.535	5.335
9	8.566	8.162	7.786	7.435	7.108	6.802	6.515	6.247	5.995	5.759
10	9.471	8.983	8.530	8.111	7.722	7.360	7.024	6.710	6.418	6.145
11	10.368	9.787	9.253	8.760	8.306	7.887	7.499	7.139	6.805	6.495
12	11.255	10.575	9.954	9.385	8.863	8.384	7.943	7.536	7.161	6.814
13	12.134	11.348	10.635	9.986	9.394	8.853	8.358	7.904	7.487	7.103
14	13.004	12.106	11.296	10.563	9.899	9.295	8.745	8.244	7.786	7.367
15	13.865	12.849	11.938	11.118	10.380	9.712	9.108	8.559	8.061	7.606
16	14.718	13.578	12.561	11.652	10.838	10.106	9.447	8.851	8.313	7.824
17	15.562	14.292	13.166	12.166	11.274	10.477	9.763	9.122	8.544	8.022
18	16.398	14.992	13.754	12.659	11.690	10.828	10.059	9.372	8.756	8.201
19	17.226	15.679	14.324	13.134	12.085	11.158	10.336	9.604	8.950	8.365
20	18.046	16.351	14.878	13.590	12.462	11.470	10.594	9.818	9.129	8.514
Periods (n)	Interest rates (r)									
	11%	12%	13%	14%	15%	16%	17%	18%	19%	20%
1	0.901	0.893	0.885	0.877	0.870	0.862	0.855	0.847	0.840	0.833
2	1.713	1.690	1.668	1.647	1.626	1.605	1.585	1.566	1.547	1.528
3	2.444	2.402	2.361	2.322	2.283	2.246	2.210	2.174	2.140	2.106
4	3.102	3.037	2.974	2.914	2.855	2.798	2.743	2.690	2.639	2.589
5	3.696	3.605	3.517	3.433	3.352	3.274	3.199	3.127	3.058	2.991
6	4.231	4.111	3.998	3.889	3.784	3.685	3.589	3.498	3.410	3.326
7	4.712	4.564	4.423	4.288	4.160	4.039	3.922	3.812	3.706	3.605
8	5.146	4.968	4.799	4.639	4.487	4.344	4.207	4.078	3.954	3.837
9	5.537	5.328	5.132	4.946	4.772	4.607	4.451	4.303	4.163	4.031
10	5.889	5.650	5.426	5.216	5.019	4.833	4.659	4.494	4.339	4.192
11	6.207	5.938	5.687	5.453	5.234	5.029	4.836	4.656	4.486	4.327
12	6.492	6.194	5.918	5.660	5.421	5.197	4.968	4.793	4.611	4.439
13	6.750	6.424	6.122	5.842	5.583	5.342	5.118	4.910	4.715	4.533
14	6.982	6.628	6.302	6.002	5.724	5.468	5.229	5.008	4.802	4.611
15	7.191	6.811	6.462	6.142	5.847	5.575	5.324	5.092	4.876	4.675
16	7.379	6.974	6.604	6.265	5.954	5.668	5.405	5.162	4.938	4.730
17	7.549	7.120	6.729	6.373	6.047	5.749	5.475	5.222	4.990	4.775
18	7.702	7.250	6.840	6.467	6.128	5.818	5.534	5.273	5.033	4.812
19	7.839	7.366	6.938	6.550	6.198	5.877	5.584	5.316	5.070	4.843
20	7.963	7.469	7.025	6.623	6.259	5.929	5.628	5.353	5.101	4.870